Asia Insurance

Summary Series: Leverage in insurance; attractive ROE, but no free lunch

Leverage is a defining feature of insurance economics. Premiums are collected upfront, claims are paid later, and the resulting float allows insurers to run larger balance sheets relative to their capital base. This is how the sector converts thin underwriting margins, often below 10%, into attractive ROE. The trade-off is equally clear: higher leverage brings greater sensitivity to underwriting cycles, asset markets, funding conditions and solvency pressures. For equity investors, leverage sits at the centre of the valuation debate. Too much excess capital dilutes ROE, but excessive leverage raises the implied cost of equity and can drive a valuation discount. The right question is not whether leverage is good or bad, but whether it is being used with sufficient capital resilience and earnings quality. In this report, we assess insurance leverage through three lenses: underwriting leverage, asset leverage and financial leverage. Overall, we view sector leverage as manageable, barring a severe macro shock. Our equity picks are AIA, PingAn-H, T&D HD, Samsung F&M, Fubon FHC, SBI Life, and Thai Life. Among opportunities on the credit side, our picks include Meiji Yasuda in Japan and AIA in Hong Kong.

- **Underwriting leverage.** This measures insurance risk per dollar of capital. For non-life, we use net written premiums as a multiple of IFRS BV. For life, we use insurance reserves on the B/S as a multiple of IFRS BV. The appeal is clear: US$3 of premiums per US$1 of surplus, written at a 5% underwriting margin, generates a 15% return on surplus. The risk is equally clear: cyclicality, adverse claims development and reserve weakness can quickly erode returns. In Asia, insurers with a conservative reserving history seem to enjoy a valuation premium and lower volatility. Those are AIA, Samsung Life, and Thai Life.
- **Asset leverage.** This measures investment risk per dollar of capital, using total assets divided by IFRS BV. At 10x asset leverage, a 1% increase in investment yield adds 10%p to pre-tax ROE, all else equal. However, the same gearing can pressure capital, BV and solvency ratios when rates, spreads, equity markets or credit losses move against the B/S. Asian life/non-life insurers had an average 14x/4x asset leverage respectively, reflecting the differences in liability duration and cashflow characteristics. Indian insurers' higher asset leverage seemingly reflects simple product mix and less stringent solvency capital framework while AIA, Samsung Life and Thai Life appear more conservative.
- **Financial leverage.** This measures debt risk per dollar of capital, using borrowings divided by borrowings, IFRS BV and net CSM. Debt can fund growth or M&A without equity dilution, but it is less flexible than equity. In periods of stress, weaker subsidiary cash upstreaming and tighter refinancing conditions can pressure HoldCo liquidity, dividends and TSR. Debt-servicing capacity is therefore another important lens when assessing financial leverage.
- **Solvency is the binding constraint.** Solvency ratio compares available capital with required capital (link). Higher leverage can enhance ROE, but usually increases required capital and reduces solvency buffers. Solvency frameworks are therefore designed to discourage excessive leverage, particularly where underwriting, asset or debt risks could weaken capital resilience under stress. In Asia, the average FY26E ROE for life/non-life insurers is 13%/12%.

Insurance

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Matthew Hughart AC
(852) 2800-6518
matthew.hughart@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited

Koki Sato AC
(81-3) 6736-8609
koki.sato@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Jemmy S Huang AC
(886-2) 2725-9870
jemmy.s.huang@jpmorgan.com
J.P. Morgan Securities (Taiwan) Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Madhukar Ladha AC
(91-22) 6157-3594
madhukar.ladha@jpmorgan.com
J.P. Morgan India Private Limited, J.P. Morgan Tower, Santacruz(E), Mumbai - 400098, SEBI Registration: INH000001873, (91-22) 6157-3000.

Dan Wang
(86-21) 6106-6349
dan.wang@jpmorgan.com
SAC Registration Number: S1730524080001
J.P. Morgan Securities (China) Company Limited

Julia Kim
(852) 2800-8540
julia.c.kim@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Emma Xing
(852) 2800-8727
emma.xing@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited

Yuka Azami
(81-3) 6736-8619
yuka.azami@jpmorgan.com
JPMorgan Securities Japan Co., Ltd.

Amanda Chang
(886-2) 2725-9861
amanda.chang@jpmorgan.com
J.P. Morgan Securities (Taiwan) Limited

See page 24 for analyst certification and important disclosures, including non-US analyst disclosures.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Upcoming Webinar - 5 August 4PM HK/9AM UK

Use of capital – Exploring leverage, from capital adequacy to capital efficiency (Registration)

Relevant publications

Asia Insurance: Summer Series: Life company analysis: dividends need cash, not just IFRS profit, 21 July 2026

Asia Insurance: Summer Series: A guide to Solvency Capital beyond all the Abbreviations, 14 July 2026

Asia Insurance: Summer Series: China's humanoid robots open a new frontier for P&C growth, 22 June 2026

Asia Insurance: Summer Series: China's marine insurance: Strategic repatriation of maritime risk, 6 July 2026

Investment thesis

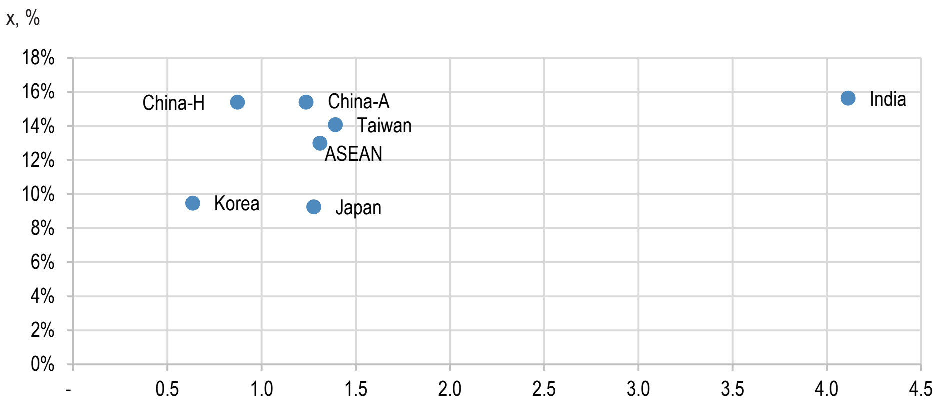
Insurance leverage: three lenses on risk and return

Our final note in the summer series focuses on three key measures of insurance leverage: 1) underwriting leverage, 2) asset leverage, and 3) financial leverage. Leverage is central to insurance economics. Insurers assume risks today in exchange for future obligations: premiums are collected upfront, while claims and benefits are paid later. This timing gap creates a sizeable pool of investable capital before policyholder liabilities are settled. This creates three distinct forms of leverage. First, underwriting leverage captures the scale of insurance risk written relative to the capital base. Second, asset leverage measures the size of the investment balance sheet relative to IFRS capital. Third, financial leverage reflects the use of debt within the overall capital structure.

Based on available financial data, our observation is that Asian insurers have historically focused more on 'capital adequacy' than 'capital efficiency'. As a result, balance sheet leverage appears more conservatively managed than in developed markets. Relatively low underwriting leverage across the region we think may reflect several factors: less profitable underwriting per unit of capital consumed, given the historical dominance of low-margin savings products in life; greater underwriting cyclicality in non-life products; less mature risk-modelling experience versus developed-market insurers; regulatory intervention in pricing, including auto insurance and medical indemnity; and less developed experience tables for modelling long-term risks, particularly morbidity risk.

That said, we view Asian insurers' leverage metrics as manageable, barring a severe macro shock over the foreseeable future. Our equity picks are AIA, Ping An-H, T&D Holdings, Samsung F&M, Fubon FHC, SBI Life and Thai Life. On the credit side, our preferred opportunities include Meiji Yasuda in Japan and AIA in Hong Kong.

Figure 1: Asia Insurance: FY26E P/B vs. ROE comparison by market



Source: Bloomberg Finance L.P., J.P. Morgan estimates. Price data as of 28 Jul 2026.

Broadly speaking, insurance is a highly regulated financial product with typically modest underwriting margins, often below 10% and, in many cases, around 5% or lower. For an insurer with a cost of equity above 10%, a low-margin standalone underwriting model is unlikely to meet shareholder return expectations without leverage. Insurers therefore use leverage to convert thin operating margins into more attractive ROE.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

From a stock valuation perspective, leverage can be an important driver of multiple expansion, provided it is used prudently. We see two main routes to improving capital efficiency: reducing excess capital that dilutes ROE, and increasing profitability through appropriate use of leverage. The key is to strike the right balance between higher returns and sufficient solvency resilience. The trade-off is balance sheet sensitivity. Higher leverage can enhance ROE, but it also increases exposure to underwriting volatility, asset market movements, funding conditions and solvency pressure.

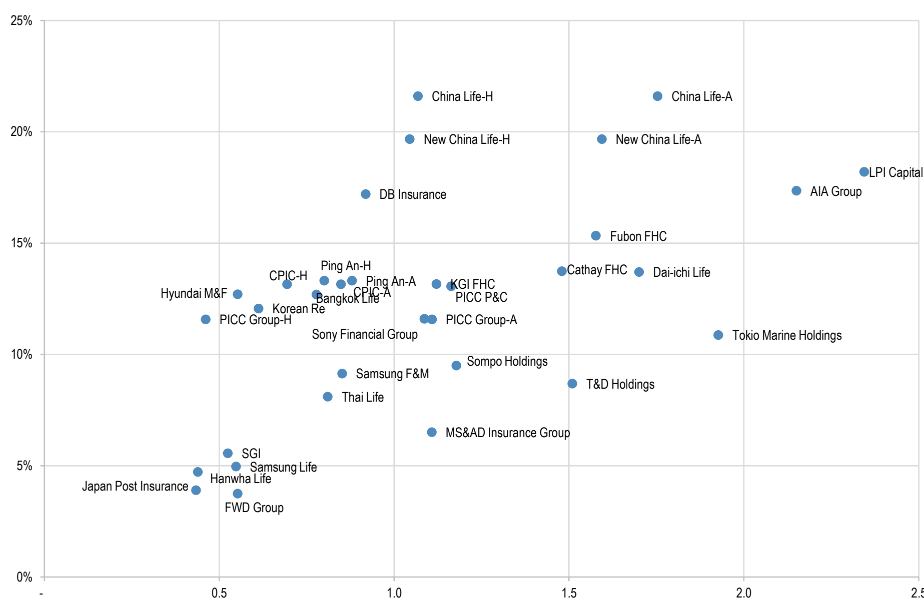
Regulators address this through solvency capital frameworks, which are designed to limit excessive leverage and protect policyholders. Higher leverage typically increases required capital, which in turn reduces the solvency ratio, all else equal. Minimum solvency requirements, together with regulatory thresholds for dividend approval, act as policy tools to protect customers through market and underwriting cycles. In addition, by recognising only part of debt financing as available capital relative to required capital, regulators discourage insurers from taking excessive balance sheet leverage.

For equity investors, this creates a clear valuation debate. Excess capital can be criticised for inefficient capital allocation and ROE dilution, but excessive leverage is also penalised for higher balance sheet risk. In practice, investors typically reflect elevated leverage through a higher implied cost of equity and, in many cases, a valuation discount.

The central challenge for insurers is therefore to generate sustainable ROE above the cost of equity while maintaining an adequate solvency buffer. In Asia, life and non-life insurers generate average FY26E ROE of 13% and 12%, respectively (Figure 1).

Figure 2: Asia Insurance: FY26E P/B vs ROE comparison by company

x, %



Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: 1) Price data as of 28 Jul 2026. 2) India is excluded for presentation simplicity.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Table 1: Asia Insurance: Valuation comparison table

Local currency, %, x

Company	B'berg Code	Rating	Price (28-Jul-2026)	PT (Dec-26)	Upside/ downside	P/E 26e	P/E 27e	P/BV 26e	P/BV 27e
China									
AIA Group	1299 HK Equity	OW	77.9	112.0	44%	13	11	2.2	2.0
FWD Group	1828 HK Equity	OW	29.5	47.0	60%	17	13	0.6	0.5
China Life-H	2628 HK Equity	OW	27.9	40.0	43%	5	4	1.1	1.0
China Life-A	601628 CH Equity	N	40.2	39.0	-3%	20	18	1.8	1.7
Ping An-H	2318 HK Equity	OW	57.1	90.0	58%	7	6	0.8	0.7
Ping An-A	601318 CH Equity	OW	54.2	83.0	53%	7	7	0.9	0.8
CPIC-H	2601 HK Equity	OW	30.0	43.0	43%	6	6	0.7	0.6
CPIC-A	601601 CH Equity	OW	31.7	50.0	58%	7	7	0.8	0.8
New China Life-H	1336 HK Equity	N	47.6	45.0	-6%	6	5	1.0	1.0
New China Life-A	601336 CH Equity	N	62.8	59.0	-6%	8	8	1.6	1.5
PICC Group-H	1339 HK Equity	N	5.3	5.8	9%	6	5	0.5	0.4
PICC Group-A	601319 CH Equity	N	7.5	6.9	-8%	12	10	1.1	1.0
PICC P&C	2328 HK Equity	N	16.2	14.0	-14%	9	8	1.2	1.1
Korea									
Samsung Life*	032830 KP Equity	OW	285,000	580,000	104%	13	13	0.5	0.5
Hanwha Life	088350 KP Equity	UW	4,295	2,100	-51%	7	8	0.4	0.4
Samsung F&M*	000810 KP Equity	OW	609,000	800,000	31%	11	10	0.9	0.8
Hyundai M&F	001450 KP Equity	UW	38,450	22,000	-43%	5	4	0.6	0.5
DB Insurance	005830 KP Equity	OW	159,000	250,000	57%	5	5	0.9	0.9
Korean Re	003690 KP Equity	OW	13,600	17,000	25%	5	7	0.6	0.6
Seoul Guarantee Insurance	031210 KP Equity	OW	41,700	90,000	116%	10	8	0.5	0.5
ASEAN									
Bangkok Life**	BLA TB Equity	OW	25.5	29.1	14%	6	6	0.8	0.7
Thai Life**	TLI TB Equity	OW	11.7	17.5	50%	10	9	0.8	0.8
LPI Capital	LPI MK Equity	OW	15.0	20.0	33%	13	12	2.3	2.3
Taiwan									
Cathay FHC***	2882 TT Equity	OW	95.4	130.0	36%	11	11	1.5	1.3
Fubon FHC***	2881 TT Equity	OW	125.5	69.8	-44%	11	12	1.6	1.4
KGI FHC***	2883 TT Equity	OW	29.6	41.0	39%	10	10	1.1	1.0
Japan	**B'berg Code**	**Rating**	**Price (28-Jul-2026)**	**PT (Dec-26)**	**Upside/ downside**	**P/E FY27e**	**P/E FY28e**	**P/BV FY27e**	**P/BV FY28e**
Dai-ichi Life	8750 JT Equity	N	1,903	1,900	0%	13	13	1.7	1.7
T&D Holdings	8795 JT equity	OW	5,032	5,300	5%	17	11	1.5	1.5
Japan Post Insurance	7181 JT Equity	OW	1,753	1,790	2%	12	11	0.4	0.4
Sony Financial Group	8729 JP Equity	N	156.1	150	-4%	446	17	1.1	1.0
MS&AD Insurance Group***	8725 JT Equity	N	5,039	5,000	-1%	13	11	1.1	1.1
Tokio Marine Holdings***	8766 JT Equity	N	8,234	8,100	-2%	18	16	1.9	1.8
Sompo Holdings***	8630 JT Equity	N	7,264	7,000	-4%	13	12	1.2	1.1
India****									
HDFC Life	HDFCLIFE IN Equity	OW	559	810	45%	53	49	5.9	5.4
SBI Life	SBILIFE IN Equity	OW	1,889	2,510	33%	58	44	8.6	7.3
ICICI Prudential Life	IPRU IN Equity	OW	510	670	31%	51	46	4.8	4.2
ICICI Lombard	ICICIGI IN Equity	OW	1,684	1,990	18%	30	23	5.0	4.4
New India Assurance	NIACL IN Equity	N	163	175	7%	13	9	1.1	1.0
GIC Re	GICRE IN Equity	OW	358	500	40%	8	7	1.1	1.0
LIC India	LICI IN Equity	OW	427	505	18%	9	8	2.4	1.9
Max Financial Services	MAXF IN Equity	OW	1,507	2160	43%	95	83	9.1	8.3

Source: Bloomberg Finance L.P., J.P. Morgan estimates. *: PT as of Jun-27, **: Price data as of 27 July 2026, ***: PT as of Dec-27, ****: PT as of Mar-27.

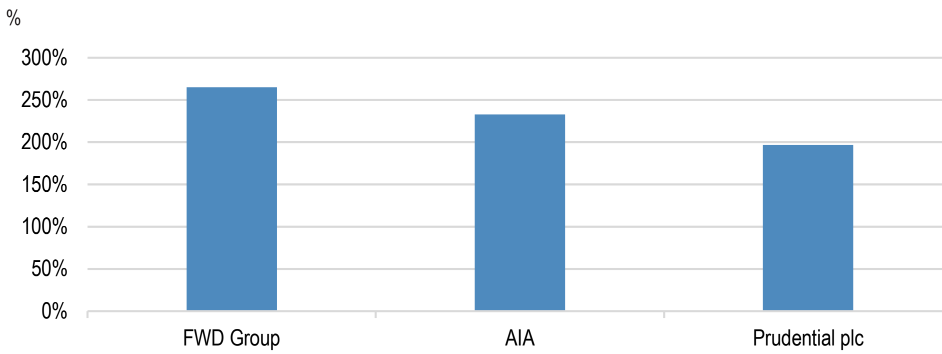
Fixed Income

The senior position of an insurance company's creditors relative to its equity investors means that they do not share in increased profitability. However, they do suffer if increased leverage reduces a company's resilience. This asymmetry means that higher solvency is more desirable. Indeed, this informs many of our recommendations. Our top picks in fixed income include insurers in Hong Kong and Japan.

Meiji Yasuda (bond ticker: MYLIFE) is among our top picks. The 2055 / '35c subordinated bonds are offered at z+189bp (SOT+145pp, $100.1, 6.1%), we think the bonds look cheap compared to weaker peers. The economic solvency ratio of 208% compares favorably to Japanese peers.

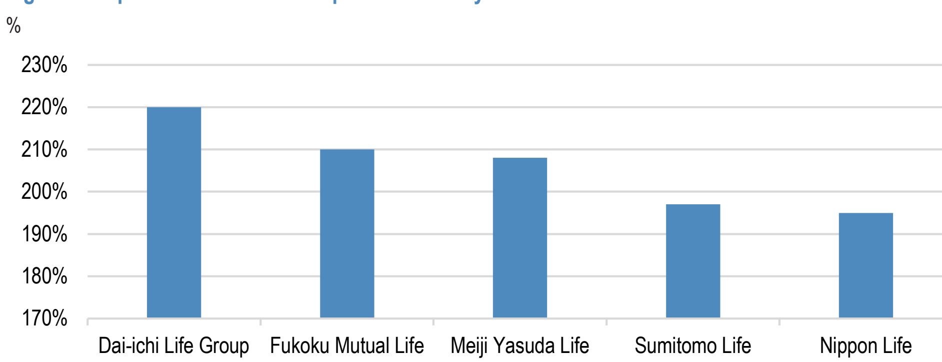
Among Hong Kong insurers, AIA's 2040 bonds are a top pick. Offered at z+137bp (SOT+110bp, $75.8, 5.7%), we believe they are the strongest structures in the complex with "must pay" coupons. The shareholder capital ratio is 221%, which we think is supportive of the credit profile.

Figure 3: Hong Kong life insurance companies solvency ratios



Group LCSM coverage ratio as of December 31, 2025
Source: Company reports

Figure 4: Japan life insurance companies solvency ratios



Economic Value-Based Solvency Ratio (ESR) as of March 31, 2026
Source: Company reports

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

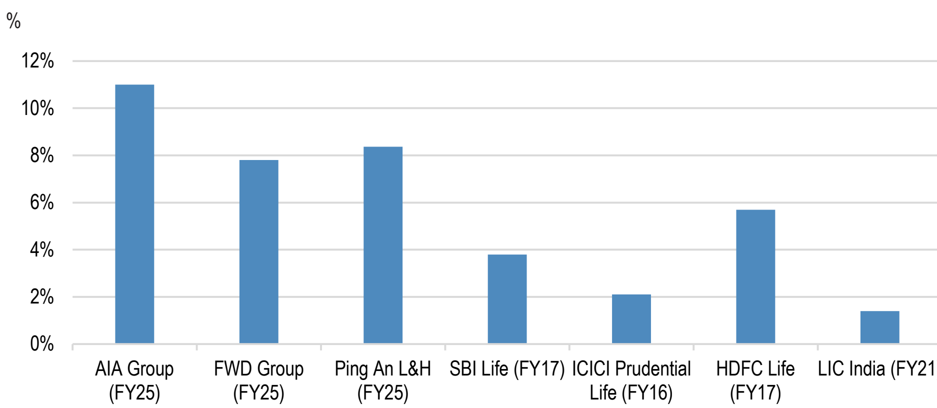
Underwriting leverage

Broadly speaking, an insurer's earnings can be decomposed into two components: insurance profit and investment profit. Our observation is that, for both life and non-life insurers, equity investors typically assign a higher valuation multiple to underwriting earnings, often around 10x to 20x P/E, than to investment earnings, which are more commonly valued at around 2x to 3x P/E. We think this is because underwriting profit is more closely linked to franchise quality, pricing discipline, risk selection and execution capability.

However, insurance products are highly regulated and, in many cases, subject to regulatory approval. This limits the scope for insurers to generate structurally high margins from product pricing alone, given the focus on policyholder protection. As a result, modest underwriting margins are common across the sector. For non-life insurers and reinsurers, underwriting margins are often below 10%, while for life insurers, margins tend to be around 5% or lower.

We illustrate this thin margin profile for both life and non-life insurers in Figure 5and Figure 8. For non-life insurers, we calculate the margin as 100% minus the combined ratio. For life insurers, we use new business CSM, or new business value, divided by the present value of new business premiums, or PVNBP.

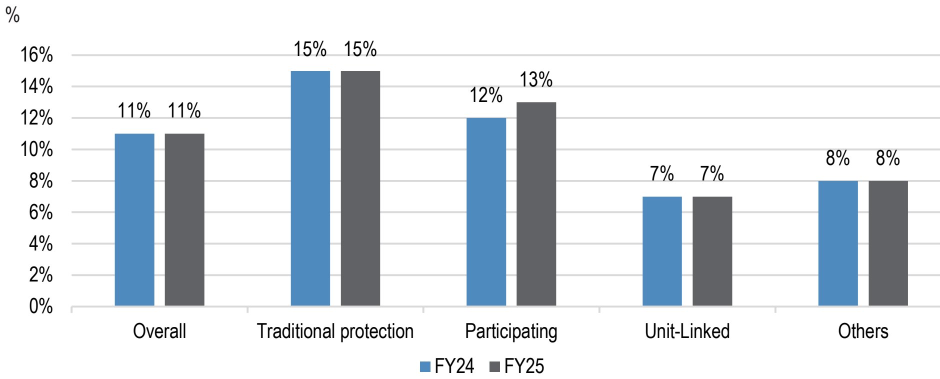
Figure 5: Asia Life Insurance: Product margin



Source: AIA Group, FWD Group, Ping An Group FY25 annual report and SBI Life, ICICI Prudential Life, HDFC Life, LIC India IPO prospectus. Note: PVNBP stands for present value of new business premiums. The product margin was measured as new business value divided by PVNBP.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Figure 6: AIA Group: NBV margin (PVNBP basis) by product group



Source: AIA Group FY25 earnings PPT.

Non-life leverage: premium leverage drives underwriting ROE

For non-life insurers and reinsurers, policy duration is relatively short, often less than one year. Travel insurance and auto insurance are good examples, as policies are typically written for a defined short-term period and claims experience emerges relatively quickly. Premium volume is therefore a useful proxy for risk exposure. In this context, the combined ratio is the key measure of underwriting performance, as it captures claims and expenses relative to earned premiums:

Combined ratio = (incurred claims and loss adjustment expenses + underwriting expenses) / earned premiums

In simple terms:

Combined ratio = (claims + expenses) / premiums

The underwriting margin can therefore be expressed as:
Underwriting margin = 1- combined ratio

Underwriting leverage measures how much insurance risk is written relative to capital. For non-life insurers and reinsurers, we define this as net written premiums divided by book value, or policyholders' surplus. This is a practical measure because premiums written today broadly correspond to the claims risk being assumed today.

For example, if an insurer has book value of US$100m and writes net premiums of US $300m, underwriting leverage is 3x. Put simply, the insurer is writing US$3 of premiums for every US$1 of surplus. The return impact is straightforward. If the insurer reports a 95% combined ratio, the underwriting margin is 5% (=1-95%). With 3x underwriting leverage, this generates a 15% return on surplus from underwriting alone.

Excluding investment income and taxes, the simplified ROE equation for non-life insurers and reinsurers is therefore:

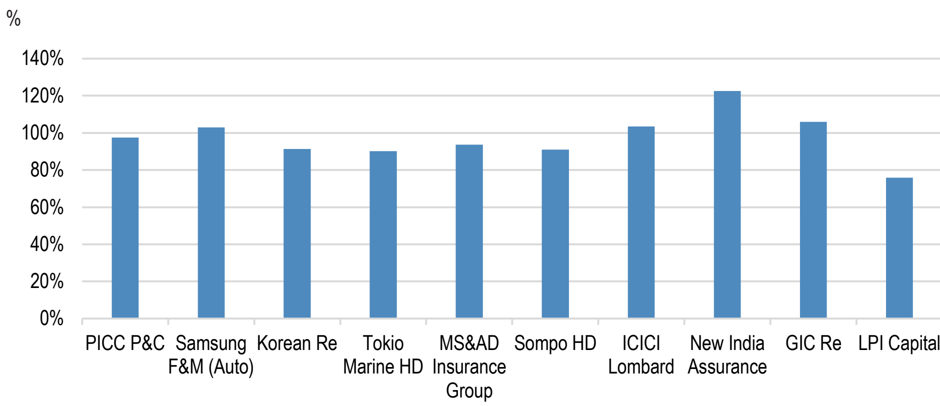
Non-life underwriting ROE = (premium / book value) x (1 - combined ratio)

In Figure 7 and Figure 8, we show the combined ratio and underwriting leverage across Asia insurers for reference.

One important caveat is that the combined ratio reported today is largely based on estimated ultimate claims. Reserve adequacy is therefore a critical part of the analysis. The claims loss development table helps assess whether reserves are conservative or aggressive, which has a direct bearing on underwriting margins, reserve leverage and solvency risk.

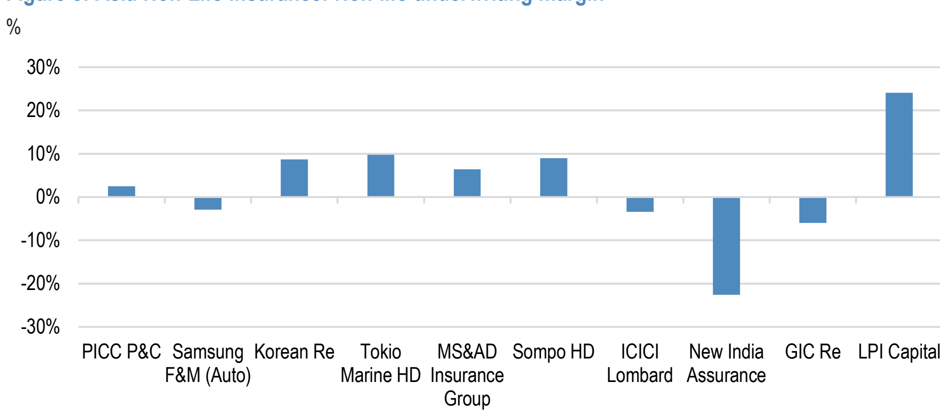
In this note, however, we focus on the conceptual framework for leverage rather than a detailed review of loss development tables. For a deeper dive into reserve analysis, including Python-based modelling of loss development tables, please refer to our summer series on *Asia Insurance: Summer Series: China's marine insurance: Strategic repatriation of maritime risk* .

Figure 7: Asia Non-Life Insurance: Combined ratio trend (FY25)



Source: Each company's FY25 annual report, J.P. Morgan calculations. Note: 1) ICICI Lombard is based on FY26 due to difference in fiscal year. 2) Samsung F&M combined ratio is specific to auto segment. 3) Tokio Marine FY25 combined ratio presented is based on IFRS (90.2%), J-GAAP combined ratio was 95.6%.

Figure 8: Asia Non-Life Insurance: Non-life underwriting margin



Source: Each company's FY25 annual report, J.P. Morgan calculations. Note: 1) Underwriting margin is calculated as 100% - combined ratio. 2) ICICI Lombard is based on FY26 due to difference in fiscal year. 3) Samsung F&M combined ratio is specific to auto segment. 4) Tokio Marine FY25 combined ratio presented is based on IFRS (90.2%), J-GAAP combined ratio was 95.6%.

Lastly, we highlight that underwriting profitability is cyclical. Pricing, claims inflation, loss trends and reinsurance costs can all move through cycles, creating both risk and investment opportunity for equity investors.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Life leverage: reserve leverage matters more than premium volume

For life insurers, premium volume is a less meaningful measure of risk exposure. Life policies are typically written over much longer periods, in some cases extending across several decades. As a result, current-year premium volume does not fully capture the future risk embedded in policies already in force.

A term life or health protection policy is a useful example. The annual premium may be relatively small, but the policy can create a significant future claim payout if the insured event occurs, such as terminal illness or critical illness, including cancer, heart attack or stroke. The key risk is therefore not simply this year's premium production, but the long-term policy obligation already sitting on the balance sheet.

Broadly speaking, life underwriting profit comes from favourable experience relative to assumptions, which we refer to as the 'experience margin'. This can include lower-than-expected mortality, better morbidity experience, expense savings versus modelled assumptions, or lower policy lapses, which allow insurers to earn fees and future profits from existing policies for longer. In other words, the margin from life business is earned over an extended period, rather than immediately at the point of sale.

This is why life insurance analysis starts with the liability reserve. The reserve represents the amount set aside to meet future obligations to policyholders. Under IFRS-17, this includes the best estimate liability, or BEL, which reflects the best estimate of future cash flows, the risk adjustment, or RA, and the contractual service margin, or CSM. Unlike non-life insurance, where premium volume is often a useful proxy for risk exposure, life insurance leverage should focus more on reserves on the balance sheet and the associated capital requirement.

At the initial stage of analysis, reserve-to-book leverage is therefore a useful metric. It helps investors assess how sensitive shareholders' equity is to changes in actuarial assumptions, including mortality, morbidity, lapse, expenses and discount rates.

Conceptually, the life underwriting earnings driver can be expressed as:

Life underwriting earnings = reserve base x experience margin

To assess life underwriting leverage, we look at insurance reserves as a multiple of IFRS book value, or policyholders' surplus. In simple terms, life reserve leverage asks: How much long-term policy obligation is being supported by each dollar of capital?

Therefore, excluding investment income and taxes, life underwriting ROE can be simplified as:

Life underwriting ROE = (reserves / book value) x experience margin

For example, assume a life insurer has reserves of US$1,000 and book value of US$100. This implies 10x reserve leverage. If actual experience improves reserve profitability by only 0.5%, the profit impact would be US$5 (= US$1,000 x 0.5%). Against US$100 of book value, this would add 5% to ROE. This illustrates how even a small improvement in reserve experience can generate a meaningful uplift to ROE when reserve leverage is high.

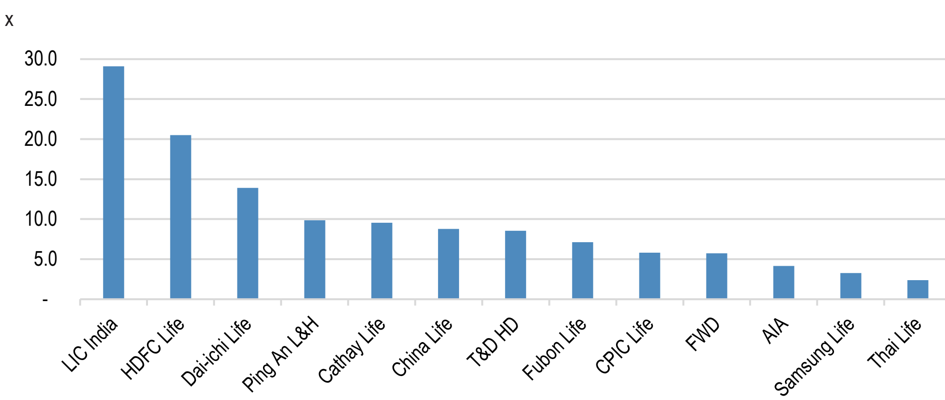
The reverse is also true, which is why investors focus closely on liability reserve quality. A small change in reserving assumptions can have a material impact on earnings and capital.

Reserve movements are closely linked to core capital, balance-sheet capacity, business growth and dividend potential. This is why reserve quality and reserve leverage are such important areas of focus for investors.

Using the same example, assume the company's actuaries conclude that reserves for health claims need to increase by only 2%, due to revised morbidity assumptions. This would require reserve strengthening of US$20 (=US$1,000 x 2%). All else equal, book value would fall from US$100 to US$80, a 20% decline. This shows how a seemingly modest reserve adjustment can create significant capital damage when reserve leverage is high.

In Figure 9, we show reserve leverage across Asia life insurers. Broadly speaking, insurers with a consistent track record of conservative reserving tend to command a valuation premium versus peers and exhibit lower share-price volatility through the cycle. In our coverage, AIA Group, Samsung Life and Thai Life stand out in this regard.

Figure 9: Asia Life Insurance: Reserve leverage comparison



Source: Each company's FY25 annual report. Note: 1) India insurers' data is based on FY26 due to difference in fiscal year. 2) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An, L&H book value and BEL reserve was used, instead of group basis.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Quality of IFRS equity

While we use reported book value as the basis for our conceptual leverage analysis, the quality of IFRS equity is ultimately a question of loss absorption. In other words, beyond the potential to enhance ROE through underwriting leverage, the key question is how much of reported equity is genuinely available to absorb losses under stress.

We would argue that not all book value is created equal. This is particularly important under IFRS-17/9, where reported equity can include several layers of capital with very different levels of certainty, liquidity and resilience. Some equity is hard, realised and immediately loss-absorbing. Other components are more assumption-driven, valuation-sensitive or dependent on future profitability, and are therefore further away from a true cash cushion. As a result, leverage calculated on reported book value can materially understate economic risk if the quality of that book value is weak.

A useful way to assess an insurer's capital base is to think of it as a stack of layers. At the highest-quality end are common equity (share capital) and retained earnings. These are typically the strongest forms of capital because they are tangible, realised and available to absorb losses. We discussed the distinction between distributable and non-distributable retained earnings in our previous note (for details: *Asia Insurance: Life company analysis: dividends need cash, not just IFRS profit*), so we do not revisit that topic here. Beyond retained earnings, excess capital and reserve margins can also provide meaningful protection, although the degree of confidence depends on the reserving position and the nature of the business.

Further down the quality spectrum are reserves recognised through other comprehensive income, or OCI, and revaluation gains. Under IFRS-17/9, fair value movements in both assets and liabilities are often reflected in OCI, which can bring the reported balance sheet closer to an economic valuation framework. However, while these items may have economic value, they are less reliable as loss-absorbing capital in stress.

These OCI reserves and revaluation gains can be reversed quickly when interest rates, credit spreads, equity markets or liability discount rates move adversely. As a result, investors should treat them as lower-quality components of book value than realised earnings or common equity.

Hybrid debt and subordinated debt can also contribute to regulatory capital, although their loss-absorbing capacity depends on structure, ranking and regulatory treatment.

High-quality shareholders' equity (book value) should be liquid, realised, unrestricted and not overly dependent on management assumptions. Cash, retained earnings, common equity and surplus capital are usually viewed favourably because they can absorb adverse claims experience, reserve strengthening, market volatility or operational losses. Lower-quality shareholders' equity, by contrast, tends to rely more heavily on future assumptions, asset valuation gains, discount-rate movements or accounting estimates. These items may be valid within the IFRS-17/9 book value framework, but they can reverse quickly if macro conditions deteriorate or operating assumptions weaken.

Under IFRS-17, CSM, or estimated future profit, is often considered part of comprehensive equity, defined as book value plus net CSM. We also note that some

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

investors compare insurers' comprehensive equity with market cap as an alternative to an embedded value, or EV, multiple. In this leverage note, however, we do not include CSM in our underwriting leverage or asset leverage calculations. Instead, we use reported book value, or IFRS equity, as the capital base. However, as CSM is partially or fully recognised as capital under various market solvency regimes, we include CSM in our financial leverage calculation. This better reflects how debt is assessed against the broader regulatory capital base.

Consider two insurers, each reporting US$100 of comprehensive equity. Company A has US$70 of retained earnings, US$20 of share capital, and US$10 linked to CSM. We think that this points to a high-quality capital base, as most of the equity is realised, tangible and loss-absorbing. Company B also reports US$100 of comprehensive equity, but this comprises US$20 of share capital, US$20 of retained earnings, US$40 of asset valuation gains reflected in OCI, and US$20 linked to CSM. The reported equity is the same, but the quality is clearly weaker. OCI gains can reverse quickly in adverse financial markets, while CSM-linked value can decline if actuarial or operating assumptions are strengthened.

Table 2: Comparison example of IFRS-17 equity composition

US$

	Insurer A	Insurer B
Comprehensive equity	100	100
Retained earnings	70	20
Share capital	20	20
CSM	10	20
Asset valuation gains reflected in OCI	0	40

Source: J.P. Morgan.

This is not merely theoretical. In FY24-25, Korea's insurers have experienced almost 15-17% of beginning CSM balance as annual CSM adjustments or CSM cuts, on average, reflecting assumption strengthening (Table 6). This reinforces our view that investors should assess not only the level of leverage, but also the quality of the capital base against which that leverage is measured.

Table 3: Korea Insurance: CSM variance trend

KRW in billion, %

	Samsung Life	Hanwha Life	Samsung F&M	Hyundai M&F	DB Insurance
CSM (ending) - 2023	12,247	9,238	13,303	9,079	12,152
CSM (ending) - 2024	12,902	9,109	14,074	8,248	12,232
% growth	5%	-1%	6%	-9%	1%
CSM variance - 2024	-1,705	-1,751	-1,558	-2,038	-2,142
% of volatility compared to beginning CSM	-14%	-19%	-12%	-22%	-18%
CSM (ending) - 2025	13,218	8,714	14,168	8,902	12,205
% growth	2%	-4%	1%	8%	0%
CSM variance - 2025	-1,758	-1,997	-1,686	-800	-2,117
% of volatility compared to beginning CSM	-14%	-22%	-12%	-10%	-17%

Source: Each company's FY23-25 annual reports.

Capital quality: headline leverage can mislead

We believe assessing the quality of book value is critical when analysing underwriting leverage. Headline leverage ratios can look manageable, but the underlying economic leverage may be materially higher if reported equity includes items that are less immediately loss-absorbing.

For non-life insurers, the simple premium-to-book ratio uses reported equity as the denominator. If net written premiums are US$300 and book value is US$100, headline underwriting leverage is 3.0x. However, if only US$60 of that equity is genuinely loss-absorbing, such as share capital and retained earnings, economic leverage is US$300 divided by US$60, or 5.0x. In this case, accounting leverage appears manageable, but the underlying economic leverage is meaningfully higher.

The same logic applies to life reserve leverage. If insurance reserves are US$800 and book value is US$100, headline reserve leverage is 8.0x. However, if US$40 of book value reflects unrealised gains on financial assets, such as equity valuation gains in OCI, the more relevant loss-absorbing equity base may be closer to US$60. This is calculated as US$100 of reported book value less US$40 of OCI valuation gains. On this adjusted basis, reserve leverage rises to 13.3x, rather than 8.0x. This represents a materially different risk profile and highlights why leverage should be assessed against the quality of capital, not only the reported amount.

For non-life insurers, this adjustment is relatively straightforward, as OCI reserves, or fair value reserves, are often the main area of focus. For life insurers, however, IFRS-17 introduces an additional layer of complexity, particularly through the contractual service margin, or CSM.

CSM represents estimated future unearned profit expected from existing life policies. It is economically relevant because it captures profit that should emerge over time if assumptions are met. However, it is not the same as hard capital. It is future profit, not profit already earned, and therefore sits further away from cash or immediately loss-absorbing equity.

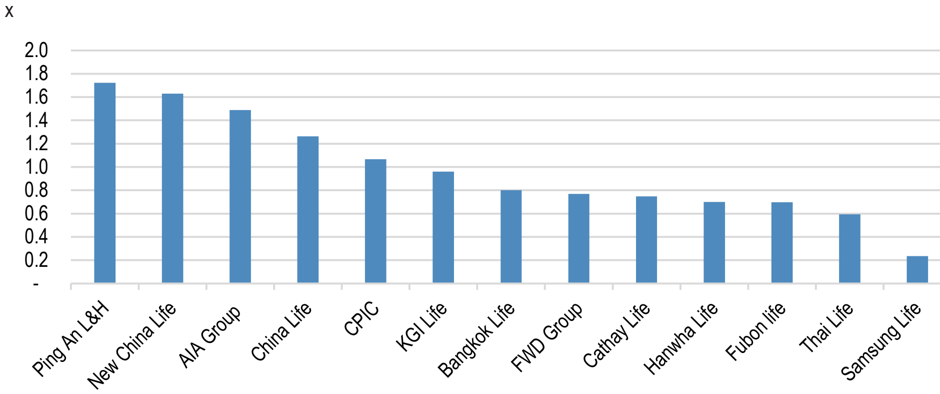
Consider two life insurers, each with US$2B of comprehensive equity (=book value + CSM), and US$3B of market cap. Both therefore trade at 1.5x price to comprehensive equity. The first insurer has US$1.5B of book value and US$0.5B of CSM. The second has US$0.5B of book value and US$1.5B of CSM. Assume neither has OCI valuation gains. On a simple comprehensive equity basis, both appear to trade on the same valuation multiple. However, the quality of that capital base is very different.

Book value is closer to hard capital, while CSM remains dependent on future experience. Mortality, morbidity, lapses, expenses, investment returns and discount rates can all move against the company. CSM can absorb certain adverse changes through IFRS-17 accounting mechanisms, including under both the general measurement model, or GMM, and the variable fee approach, or VFA, but it is not as robust as retained earnings or paid-in common equity. More importantly, a capital base heavily weighted towards CSM may offer more limited dividend capacity than one supported by realised book value.

In Figure 10, we compare the mix of CSM and book value across Asia insurers.

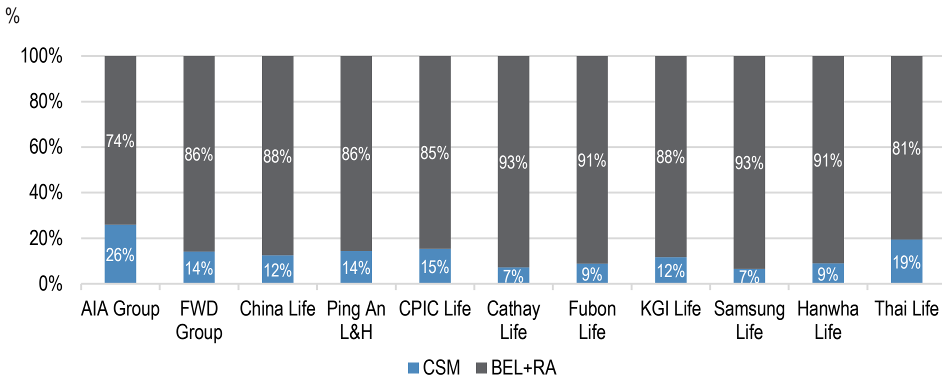
MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Figure 10: Asia Life Insurance: CSM over book value analysis (FY25)



Source: Each company's FY25 annual report. Note: 1) India insurers' data is based on FY26 due to difference in fiscal year. 2) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An, Ping An L&H book value was used, instead of group basis.

Figure 11: Asia Life Insurance: Insurance contract liability breakdown



Source: Each company's FY25 annual report.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

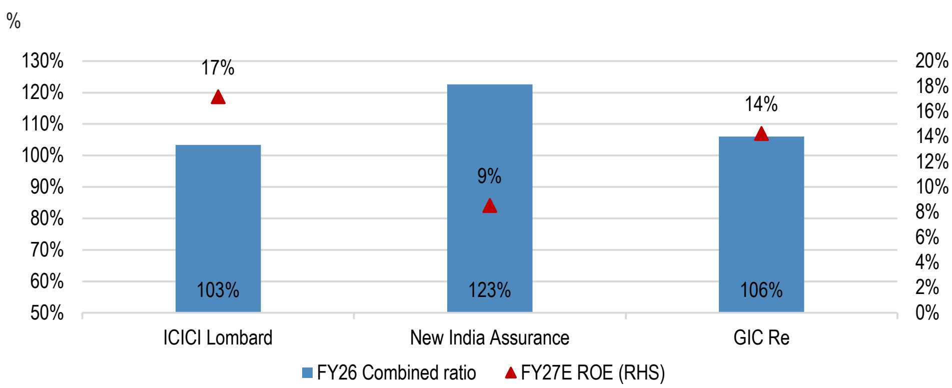
Asset leverage

Insurers collect premiums upfront and may hold policyholder funds for months, years or, for life insurers, decades before claims or benefits are paid. This allows the investment portfolio to become materially larger than shareholders' equity, creating asset leverage. We assess asset leverage as total balance sheet assets divided by IFRS equity (i.e., book value). In simple terms, this measures investment risk per dollar of capital and shows how exposed an insurer's equity base is to movements in its asset portfolio.

Asset leverage is intrinsic to the insurance model and explains why insurer earnings are driven by both insurance profit and investment profit. In some markets, investment income can remain a key earnings driver even when underwriting profitability is weak.

India's non-life insurance sector is a good example. Despite combined ratios consistently above 100%, suggesting that additional underwriting leverage is not necessarily attractive on a standalone basis, insurers have still generated ROE of around 15% to 20%, supported by asset leverage and investment income.

Figure 12: India Insurance: Combined ratio vs. ROE (RHS)



Source: Each company's FY26 earnings presentation, Bloomberg Finance L.P., J.P. Morgan estimates.

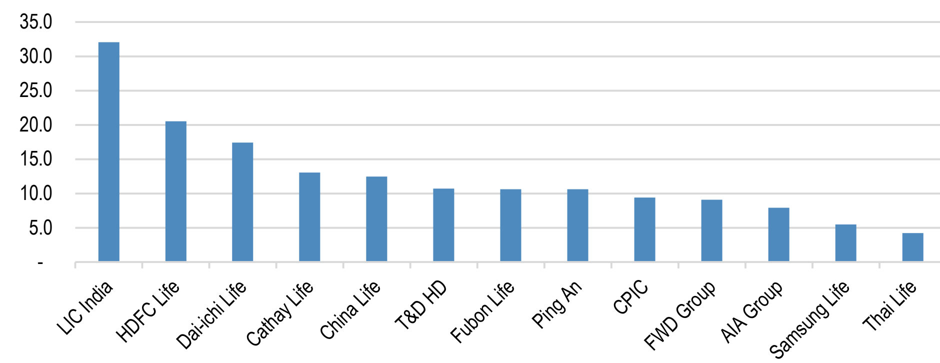
The mechanics are straightforward. Assume an insurer has US$100 of book value and US$1,000 of invested assets, implying 10x asset leverage. A 1% increase in investment yield would generate US$10 of incremental investment income, equivalent to a 10% uplift to pre-tax ROE, all else equal. This is why even modest changes in reinvestment yields, bond yields, equity markets or asset mix can have a material impact on earnings and valuation.

The reverse is also true. In periods of market stress, high asset leverage can accelerate pressure on capital, book value and solvency ratios. Small moves in macro drivers can create outsized balance sheet effects. In this context, asset leverage provides a useful lens on an insurer's underlying macro gearing.

In Figure 13/Figure 14, we show asset leverage across major Asian insurers. Non-life insurers have relatively low asset leverage, at 4x on average, compared with 14x for life insurers. We think this largely reflects differences in liability duration and cash-flow characteristics. Non-life insurers typically have shorter-duration liabilities and more frequent claims settlement, with auto insurance being a good example. As a result, they tend to hold more deposits and shorter-duration bonds, leading to a more conservative asset-leverage profile. Life insurers, by contrast, have longer-duration and less liquid liabilities, which support higher asset leverage, at 14x on average.

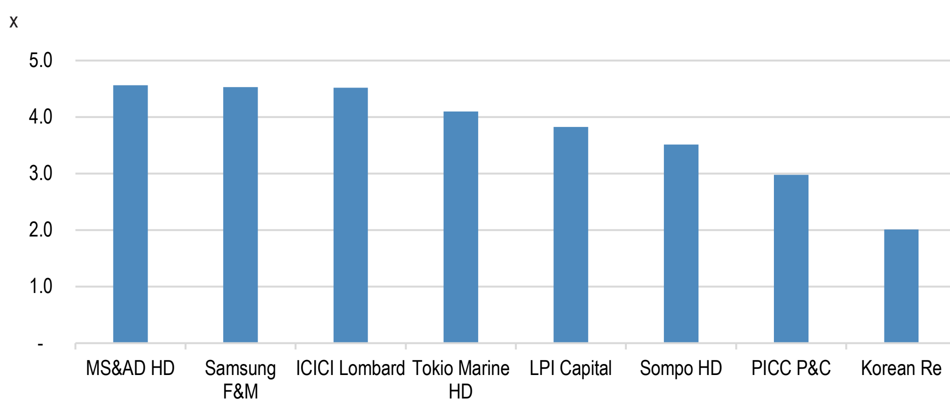
Relatively higher asset leverage among Indian insurers, compared with other Asian markets, appears to reflect a less stringent solvency capital framework at this stage, as well as a relatively simple product mix. Among life insurers, AIA, Samsung Life and Thai Life appear more conservative in their use of asset leverage. By contrast, Dai-ichi Life, Cathay FHC and China Life show relatively high leverage versus domestic peers.

Figure 13: Asia Life Insurance: Asset leverage (FY25)



Source: Each company's FY25 annual report. Note: 1) India insurers' data is based on FY26 due to difference in fiscal year. 2) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An Group, banking and asset management segment's balance sheet was excluded.

Figure 14: Asia Non-Life Insurance: Asset leverage (FY25)



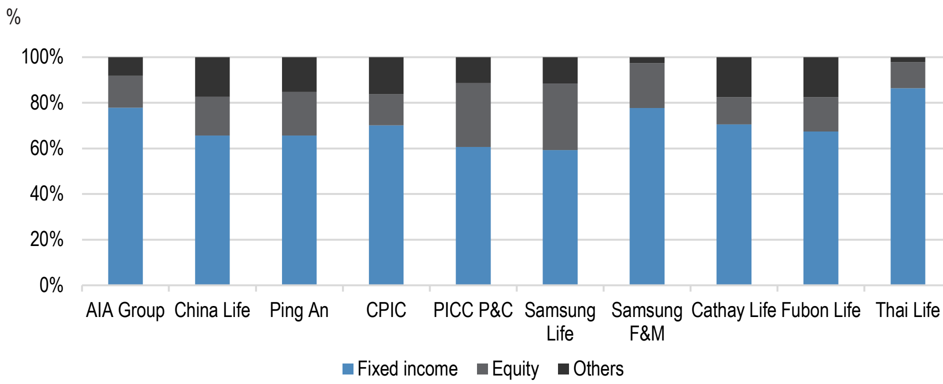
Source: Each company's FY25 annual report. Note: India insurers' data is based on FY26 due to difference in fiscal year.

While Asian insurers' asset leverage does not appear excessive relative to developed-market peers, typically 10x to 20x for life insurers, 3x to 6x for non-life insurers and 8x to 14x for composite insurers, it is also important to assess the underlying asset-allocation mix.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Our initial view is that asset allocation across Asian insurers remains relatively conservative versus developed-market peers. Portfolios continue to show a clear bias towards high-quality fixed-income assets, with more than 70% of AUM, on average, allocated to interest-bearing assets. Exposure to Level 3 assets, such as private credit, private debt and private equity, remains limited. (Figure 15).

Figure 15: Asia Insurance: Investment portfolio breakdown by asset class (FY25)



Source: Each company's FY25 annual report. Note: AIA Group investment portfolio is based on non-par and surplus assets portfolio breakdown.

There are three points worth highlighting.

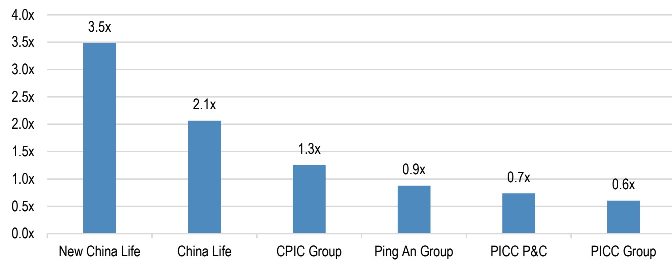
First, asset leverage across Asia appears relatively reasonable, at 14x for life insurers and 4x for non-life insurers. We think this reflects two factors. The first is the gradual strengthening of solvency capital frameworks by Asian insurance regulators, with higher capital charges across risk components, including asset risk. The second is the sector's growth profile. Low insurance penetration still requires insurers to retain capital to support business expansion, which discourages excessive balance-sheet leverage. Although Asia's solvency capital standards remain more generous than Solvency II in Europe, we think asset leverage is being managed with a broadly conservative stance.

Second, Chinese insurers are becoming more equity-sensitive. Their balance sheets have shifted away from the traditional fixed-income-heavy allocation, with a meaningful increase in exposure to China A-shares and, to a lesser extent, Hong Kong equities. This creates greater upside in a rising equity market, but also increases earnings and capital sensitivity if market conditions reverse. In Figure 16/Figure 17, we show each insurer's equity exposure relative to book value and the associated sensitivity to market movements.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Figure 16: China Insurance: Equity holding vs. book value (FY25)

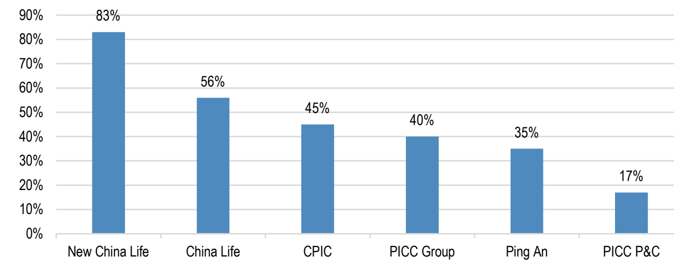
x



Source: Each company's FY25 annual report.

Figure 17: China Insurance: FY26E consensus NP sensitivity to 10% movement of SHCOMP index

%



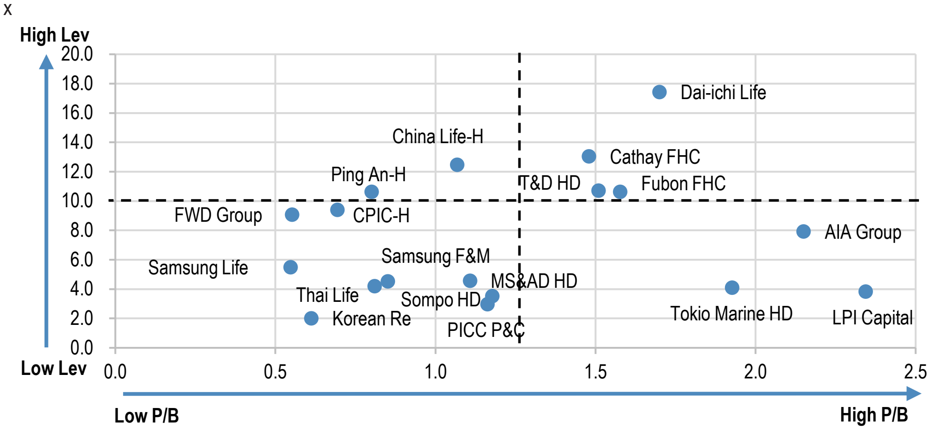
Source: Each company's FY25 annual report, Bloomberg Finance L.P., J.P. Morgan estimates.
Note: Consensus data as of 13 July 2026.

Third, Asia remains at a relatively early stage in adding illiquid and harder-to-value Level 3 assets, particularly among life insurers. We think this partly reflects regulators' conservative approach to Level 3 assets, as well as the relatively short liability duration of Asian life insurers. Lapse experience also appears less stable beyond year 10 after new policy sales, which limits the scope to take on more illiquid assets. For further detail on Level 3 asset exposure in Asia, please see *Asia Insurance Strategy: Level 3 exposure rising; tilt to quality - India leads; China constructive; Korea selective*.

One final observation is valuation. In Figure 18, we compare insurers with higher and lower asset leverage against their relative valuation multiples. The analysis suggests that insurers with higher asset leverage tend to trade at a discount to peers, reflecting greater sensitivity to macro, market and solvency risks.

Figure 18: Asia Insurance: Asset leverage vs. FY26E P/B

x



Source: Each company's FY25 annual report, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 1) Price data as of 28 Jul 2026. 2) India insurers are excluded from presentation due to simplicity. 3) India insurers' data is based on FY26 due to difference in fiscal year. 3) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An Group, banking and asset management segment's balance sheet was excluded.

MW Kim [AC]
(852) 2800-8517
mw.kim@jpmorgan.com

Financial leverage

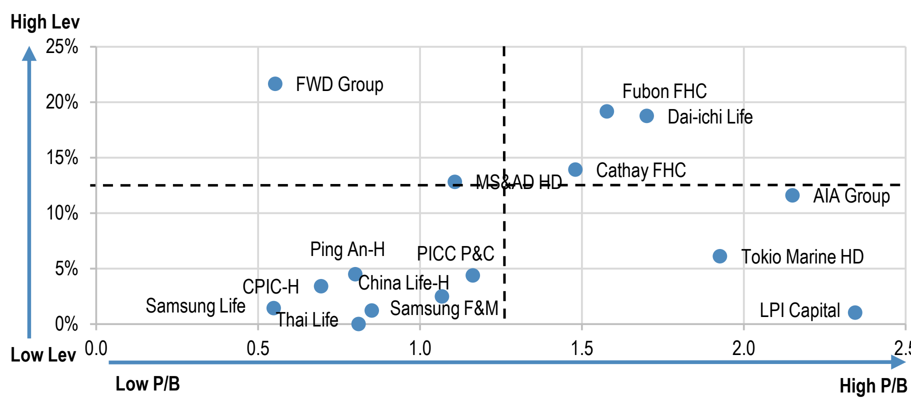
Debt can be an efficient source of capital for insurers. It can fund acquisitions, support growth or provide capital injections into operating subsidiaries without diluting existing shareholders. However, debt is less flexible than equity. It carries fixed coupons, contractual maturities and, in some cases, call dates. This becomes most relevant in periods of macro stress, when dividend upstreaming from operating subsidiaries may be constrained, while holding company debt still needs to be serviced, redeemed or refinanced.

We define financial leverage as total borrowing divided by total capital, comprising borrowings, IFRS equity and net CSM. We include CSM where appropriate, as comprehensive equity (= IFRS equity + net CSM) is increasingly used by the market to assess financial leverage, although we recognise that CSM is less reliable than hard equity as loss-absorbing capital in stress. In simple terms, this measures financial risk per dollar of capital.

For equity investors, the key issues are holding company liquidity and capital flexibility. Higher financial leverage can limit an insurer's ability to support shareholder returns, pursue M&A or absorb short-term regulatory pressure. It can also become a valuation headwind. In many cases, insurers with higher debt leverage trade at a discount to lower-levered peers, reflecting greater refinancing risk, weaker capital flexibility and higher sensitivity to stressed market conditions. In Figure 19, we compare insurers' valuation multiples against their financial leverage.

Figure 19: Asia Insurance: Financial leverage vs. FY26E P/B

%, x



Source: Each company's FY25 annual report, Bloomberg Finance L.P., J.P. Morgan estimates. Note: 1) Price data as of 28 Jul 2026. 2) India insurers are excluded from presentation due to simplicity. 3) India insurers' data is based on FY26 due to difference in fiscal year. 3) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An Group, banking and asset management segment's balance sheet was excluded.

Rating agencies also monitor financial leverage closely, with important implications for bond investors. If debt rises too far, typically above 25% to 30% of comprehensive equity, both credit ratings and financial strength ratings might come under pressure. This could raise funding costs and, for some insurers, weaken commercial competitiveness.

In Figure 20, our key observation is that Asian insurers appear to use debt more conservatively than developed-market peers. We think this partly reflects the fact that financial leverage is less widely used as a capital-management tool in Asia than underwriting or asset leverage. In addition, solvency capital frameworks often limit the recognition of debt as eligible capital, in some cases to a fixed proportion of required capital, such as 25%. Financing costs can also become an additional burden for insurers with smaller distributable cash-flow generation.

Why have Asian insurers not been more active in financial leverage?

Unlike insurers in developed markets, Asian insurers have generally been less active in using financial leverage to optimise excess capital. There are some exceptions, including names that genuinely require larger capital buffers given weaker capital positions, such as Hanwha Life and Hyundai M&F in Korea, as well as Taiwanese life insurers, which have historically been more active in debt financing.

We believe this largely reflects the fact that Asia's solvency capital frameworks have been in a strengthening phase over the past decade (For details: *Asia Insurance: Summer Series: A Guide to Solvency Capital beyond all the Abbreviations*). As a result, management focus has been centred more on '**capital adequacy**' than '**capital efficiency**'. Faster business growth across the region has also required insurers to retain capital to support expansion. In this context, it is not surprising that AIA introduced its enhanced capital management policy, based on underlying free surplus generation, only two years ago.

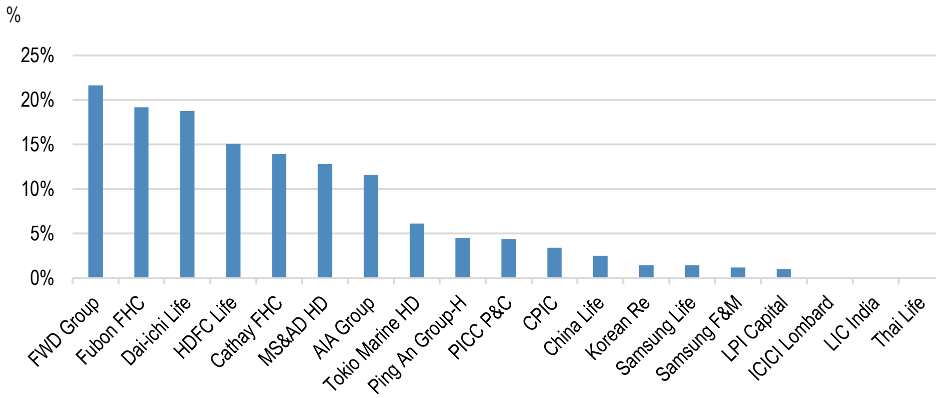
Looking ahead, we expect the debate to shift. Returning excess capital to shareholders is becoming an increasingly important market focus, while many Asian markets have upgraded their solvency capital frameworks alongside IFRS-17/9 adoption. As regulatory capital regimes mature, management dialogue and investor focus should increasingly move from capital adequacy towards capital efficiency, particularly among well-capitalised or adequately capitalised insurers.

Japan insurers stand out in this regard, including T&D Holdings. We also see scope for stronger shareholder-return efforts from Samsung group insurers, namely Samsung Life and Samsung F&M, as well as Thai Life. By contrast, we do not expect a major change in the financial leverage structure of Indian insurers, given their faster medium-term business growth outlook and the prospect of further gradual strengthening in solvency capital requirements.

For China insurers, we expect debt financing to become more active after the foreseeable implementation of C-ROSS II Phase 3, particularly among life insurers. Meanwhile, less well-capitalised insurers are likely to remain focused on protecting their capital base through macro and regulatory cycles, maintaining a more conservative capital adequacy dialogue.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Figure 20: Asia Insurance: Financial leverage comparison



Source: Each company's FY25 annual report. Note: 1) India insurers' data is based on FY26 due to difference in fiscal year. 2) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An Group, banking and asset management segment's balance sheet was excluded.

Debt servicing capacity

Debt servicing capacity is another important lens when assessing financial leverage. Financial leverage is not necessarily problematic in itself. The key question is whether the insurer can comfortably meet its debt obligations under both normal and stressed conditions. In other words, debt servicing capacity measures the sustainability of financial leverage.

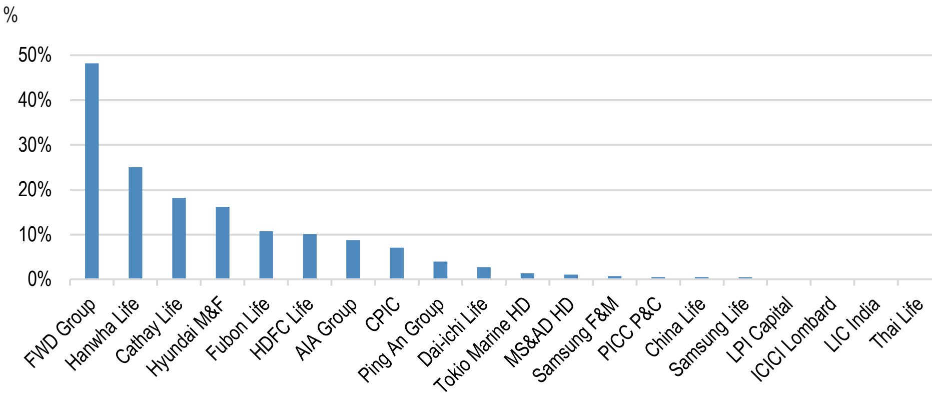
This is particularly important for insurers because, unlike banks, they already carry significant obligations, including policy claims, benefit payments, reserve strengthening and regulatory capital requirements. Debt adds another fixed obligation through interest payments and principal repayment, which must be met regardless of whether underwriting performance is profitable.

We assess this through fixed interest cover, measured as operating profit before debt costs divided by interest expense. In Figure 21, we show debt servicing capacity across insurers. The sector median fixed interest cover is currently around 2% of pre-tax profit before interest expense, which we do not view as stressful, helped by relatively low funding costs and credit spreads. That said, in a crisis, group cash flows can become more constrained, making interest payments and refinancing capacity more important areas of focus. Overall, we see limited near-term risk from debt servicing costs, although insurers with higher debt leverage relative to the sector are FWD Group, Hanwha Life and Hyundai M&F.

Lastly, FWD's cash generation from the in-force book is entering an acceleration phase. We forecast OPAT to rise from US$499m in 2025 to US$856m in 2028E (20% CAGR). The company's potentially significant improvement in debt-servicing capacity could therefore serve as a useful example of how financial leverage should evolve as the business scales.

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Figure 21: Asia Insurance: Interest expense as % of pre-tax profit before interest expense



Source: Each company's FY25 annual report, J.P. Morgan calculations. Note: 1) India insurers' data is based on FY26 due to difference in fiscal year. 2) For Cathay FHC, and Fubon FHC, the life segment standalone balance sheet was used for analysis. For Ping An Group, banking and asset management segment's balance sheet was excluded

Why this matters

Financial leverage should not be analysed in isolation. For insurers, debt risk is ultimately tied to underwriting quality, reserve adequacy, investment spreads, asset-liability management (ALM) and the stability of operating earnings. The balance-sheet leverage ratio may look unchanged, but debt-servicing capacity can deteriorate quickly if the earnings base weakens.

For a non-life insurer, operating earnings are driven by two main components: underwriting profit and investment profit. These earnings ultimately determine the insurer's ability to service debt. For example, if an insurer writes premiums of US $1,000 with a 96% combined ratio, it generates underwriting profit of US$40 (= US $1,000 x (1-96%)). If investment profit is US$60 and assuming no tax, operating profit is US$100. Against interest expense of US$20, fixed interest cover is 5x (=US$100/US $20). This would generally be viewed as healthy.

However, this can change quickly if underwriting performance deteriorates as the cycle turns. If the combined ratio rises to 102% due to higher-than-expected claims inflation, the insurer moves from an underwriting profit of US$40 to an underwriting loss of US $20. This is a realistic scenario given the cyclical nature of non-life underwriting, which is shaped by competition, regulatory intervention, claims inflation and pricing discipline. Assuming investment income remains at US$60, operating profit falls to US $40, while interest expense remains unchanged at US$20. Fixed interest cover therefore declines from 5x to 2x. In other words, financial leverage as a balance-sheet measure has not changed, but debt-servicing capacity has weakened materially. Under this scenario, dividend capacity and balance-sheet flexibility would likely come under pressure.

For life insurers, debt-servicing capacity depends on a broader set of drivers, including mortality experience, morbidity trends, investment spreads, asset-liability management, fee income and reserve movements. For example, if a life insurer has assets of US $100B, earns a 5% investment yield and credits policyholders at 4%, the 1% net spread generates profit of US$1B. This was broadly the case for Chinese life insurers historically, when negotiable bank deposit rates were around 5.5%, supported by loan-

MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

to-deposit (LDR) ratio regulation, while maximum guaranteed returns to customers were set at 2.5% to 3.5%. Against interest expense of US$100m, fixed interest cover would be 10x, which would appear strong.

However, if the spread compresses from 1% to 0.3% following a series of interest rate cuts, profit falls from US$1B to US$300m. This is because investment yields on interest-bearing assets can decline faster than liability funding costs, which are often fixed or sticky due to minimum guaranteed rates embedded in life policies. We generally view these macro-driven cash-flow changes as beyond the scope of management action, rather than a reflection of management execution. With interest expense still at US$100m, fixed interest cover declines from 10x to 3x. Again, debt outstanding has not changed, but the capacity to service that debt has weakened significantly.

Reserve movements can have a similar impact. An insurer may initially report operating profit of US$100 and interest expense of US$20, implying fixed interest cover of 5x. However, if adverse reserve development requires reserve strengthening of US$30, based on reserves of US$1,000 and a 3% strengthening requirement, operating profit falls to US$70 and fixed interest cover declines to 3.5x. The insurer has not added debt, but its debt-servicing capacity has clearly weakened.

In conclusion, financial leverage is not simply a question of how much debt an insurer carries. It is ultimately a question of how resilient the earnings base is through underwriting cycles, spread compression and reserve adjustments. While this is clearly relevant for fixed-income investors, it is equally important for equity investors. Leverage should therefore be assessed alongside earnings quality, capital flexibility and dividend sustainability, rather than as a standalone balance-sheet metric, as it has direct implications for distributable ‘cash’ profit to shareholders.

Analyst Certification: The Research Analyst(s) denoted by an "AC" on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an "AC" on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst's personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst's analysis was made in good faith and that the views reflect the Research Analyst's own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Other Disclosure: One of the primary coverage analyst, along with his connected person, holds funds that invest in the financial sector.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Meiji Yasuda Life Insurance, Samsung Fire & Marine Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Manager or Co-manager:** J.P. Morgan acted as manager or co-manager in a public offering of securities or financial instruments (as such term is defined in Directive 2014/65/EU) of/for Samsung Life Insurance or related entities within the past 12 months.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Meiji Yasuda Life Insurance, Samsung Fire & Marine Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Client/Investment Banking:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as investment banking clients: Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Meiji Yasuda Life Insurance, Samsung Fire & Marine Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Meiji Yasuda Life Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Investment Banking Compensation Received:** J.P. Morgan has received in the past 12 months compensation for investment banking services from Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Meiji Yasuda Life Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Meiji Yasuda Life Insurance, Samsung Fire & Marine Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of Meiji Yasuda Life Insurance, Samsung Fire & Marine Insurance, Samsung Life Insurance, T&D Holdings (8795) or related entities, if any.
- J.P. Morgan is acting as financial advisor to T&D Holdings, Inc. in connection with the transfer of shares of T&D Financial Life Insurance Co., Ltd. to PayPay Corporation and One Investment Management Ltd as announced on June 4, 2026 JST. The transaction is subject to the satisfaction of conditions precedent including regulatory approvals and the completion of the IFRS conversion process required for consolidation into the PayPay Corporation. This research report and the information contained herein is not intended to provide voting advice, serve as an endorsement of the proposed transaction or result in procurement, withholding or revocation of a proxy or any other action by a security holder.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting https://www.jpmm.com/research/disclosures, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

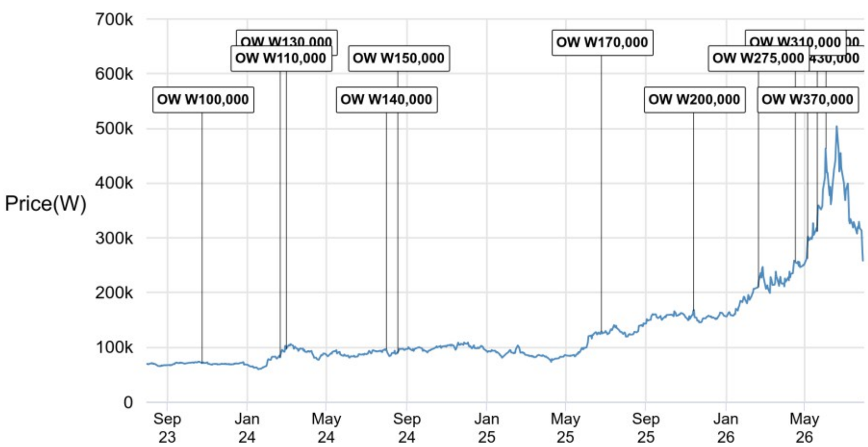
MW Kim AC
(852) 2800-8517
mw.kim@jpmorgan.com

Samsung Fire & Marine Insurance (000810.KS, 000810 KS) Price Chart

Date	Rating	Price (W)	Price Target (W)
13-Nov-23	N	250000	280,000
14-May-24	OW	335500	450,000
01-Aug-24	OW	372500	480,000
12-Feb-25	OW	367500	500,000
18-Aug-25	OW	441000	530,000
07-Jan-26	N	492500	500,000
20-Feb-26	UW	569000	450,000
14-Apr-26	N	470000	500,000
04-Jun-26	OW	640000	800,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Samsung Life Insurance (032830.KS, 032830 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
25-Oct-23	OW	71100	100,000
21-Feb-24	OW	81700	110,000
01-Mar-24	OW	96900	130,000
01-Aug-24	OW	96500	140,000
19-Aug-24	OW	88800	150,000
26-Jun-25	OW	129000	170,000
13-Nov-25	OW	166600	200,000
20-Feb-26	OW	210000	275,000
17-Apr-26	OW	257000	310,000
06-May-26	OW	262000	370,000
21-May-26	OW	312500	430,000
04-Jun-26	OW	463000	580,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 14, 2011. All share prices are as of market close on the previous business day.

T&D Holdings (8795) (8795.T, 8795 JP) Price Chart

Date	Rating	Price (Y)	Price Target (Y)
27-Sep-23	N	2603	2,780
05-Dec-23	OW	2178	2,610
26-Mar-24	N	2692	2,770
21-Jun-24	N	2618	2,790
17-Sep-24	OW	2394	3,140
09-Jan-25	OW	2944	3,300
02-Apr-25	OW	3176	3,700
19-Jun-25	OW	3232	4,300
19-Dec-25	OW	3538	4,130
04-Jun-26	NR	4231	--
23-Jun-26	OW	4984	5,300

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 11, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:
J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, https://www.jpmorganmarkets.com.

Coverage Universe: Kim, MW : AIA Group Ltd (1299) (1299.HK), Bangkok Life (BLA.BK), China Life Insurance - A (601628.SS), China Life Insurance - H (2628.HK), China Pacific Insurance Group - A (601601.SS), China Pacific Insurance Group - H (2601.HK), DB Insurance Co Ltd (005830.KS), FWD Group Holdings (1828.HK), Hanwha Life Insurance (088350.KS), Hyundai Marine & Fire Insurance (001450.KS), Korean Reinsurance Company (003690.KS), LPI Capital (LOND.KL), New China Life Insurance - A (601336.SS), New China Life Insurance - H (1336.HK), PICC Group - A (601319.SS), PICC Group - H (1339.HK), PICC Property and Casualty (2328) (2328.HK), Ping An Insurance Group - A (601318.SS), Ping An Insurance Group - H (2318.HK), Samsung Fire & Marine Insurance (000810.KS), Samsung Life Insurance (032830.KS), Seoul Guarantee Insurance (031210.KS), Thai Life Insurance (TLI.BK)**Sato, Koki** : ACOM (8572) (8572.T), AEON Financial Service (8570) (8570.T), Credit Saison (8253) (8253.T), Daiichi Life Group (8750) (8750.T), Daiwa Securities Group (8601) (8601.T), GMO Payment Gateway (3769) (3769.T), Infcurion (438A) (438A.T), Japan Post Insurance (7181) (7181.T), MS&AD Insurance Group Holdings (8725) (8725.T), Muninova Holdings (547A) (547A.T), NS Group (471A) (471A.T), Nomura Holdings (8604) (8604.T), ORIX (8591) (8591.T), Sompo Holdings (8630) (8630.T), Sony Financial Group (8729) (8729.T), T&D Holdings (8795) (8795.T), Tokio Marine Holdings (8766) (8766.T), Tokyo Century (8439) (8439.T)**Huang, Jemmy S**: Bank of China (BOCHK) (2388) (2388.HK), Bank of East Asia (0023) (0023.HK), CTBC Financial Holding Co. (2891.TW), Cathay Financial Holdings (2882.TW), Chailease Holding (5871.TW), Dah Sing Banking Group (2356) (2356.HK), Dah Sing Financial (0440) (0440.HK), E.Sun Financial (2884.TW), Far East Horizon (3360) (3360.HK), First Financial Holding Co Ltd (2892.TW), Fubon Financial Holdings (2881.TW), Hua Nan FHC (2880.TW), KGI Financial Holding (2883.TW), Mega Holdings (2886.TW), Sinopac Financial Holdings (2890.TW), TS Financial Holding (2887.TW), Value Partners Group Limited (0806) (0806.HK), Yuanta FHC (2885.TW)**Ladha, Madhukar** : Angel One (ANGO.NS), BSE (BSEL.NS), CAMS (COMU.NS), CDSL (CENA.NS), General Insurance Corp of India (GENA.NS), HDFC Asset Management (HDFA.NS), HDFC Life (HDFL.NS), ICICI AMC (IICL.NS), ICICI Lombard General Insurance (ICIL.NS), ICICI Prudential Life (ICIR.NS), KFin Technologies Ltd. (KFIN.NS), LIC India (LIFI.NS), MCX (MCEI.NS), Max Financial Services (MAXI.NS), New India Assurance (THEE.NS), Nippon Asset Management (NIPF.NS), SBI Life (SBIL.NS)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

***Please note that the percentages may not add to 100% because of rounding.**
****Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.**
For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at http://www.jpmorganmarkets.com, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, http://www.jpmorganmarkets.com. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of http://www.jpmorganmarkets.com where you can also search by analyst name, sector or financial instrument.

Meiji Yasuda Life Insurance - J.P. Morgan Credit Opinion History

	Date	Action	Rating/Designation	Ticker/ISIN
Issuer	10 Nov 25	Initiate	Overweight	MYLIFE
5.8% 2054 / ‘34c *	10 Nov 25	Initiate	Overweight	US585270AD32
5.1% 2048 / ‘28c	10 Nov 25	Initiate	Neutral	US585270AC58
6.1% 2055 / ‘35c	10 Nov 25	Initiate	Overweight	US585270AE15

***Indicates representative/primary bond/instrument.**

The table(s) above show the recommendation changes made by J.P. Morgan Credit Research Analysts in the subject company and/or instruments over the past three years (or, if no recommendation changes were made during that period, the most recent change). Notes: Effective April 11, 2016, J.P. Morgan changed its Credit Research Ratings System. Please see the Explanation of Credit Research Ratings below for the new definitions. The previous rating system no longer should be relied upon. For the history prior to April 11, 2016, please call 1-800-447-0406 or e-mail research.disclosure.inquiries@jpmorgan.com.

Explanation of Credit Research Valuation Methodology, Ratings and Risk to Ratings:
J.P. Morgan uses a bond-level rating system that incorporates valuations (relative value) and our fundamental view on the security. Our fundamental credit view of an issuer is based on the company's underlying credit trends, overall creditworthiness and our opinion on whether the issuer will be able to service its debt obligations when they become due and payable. We analyze, among other things, the company's cash flow capacity and trends and standard credit ratios, such as gross and net leverage, interest coverage and liquidity ratios. We also analyze profitability, capitalization and asset quality, among other variables, when assessing financials. Analysts also rate the issuer, based on the rating of the benchmark or representative security. Unless we specify a different recommendation for the company’s individual securities, an issuer recommendation applies to all of the bonds at the same level of the issuer’s capital structure. We may also rate certain loans and preferred securities, as applicable. This report also sets out within it the material underlying assumptions used. We use the following ratings for bonds (issues), issuers, loans, and preferred securities: Overweight (over the next three months, the recommended risk position is expected to outperform the relevant index, sector, or benchmark); Neutral (over the next three months, the recommended risk position is expected to perform in line with the relevant index, sector, or benchmark); and Underweight (over the next three months, the recommended risk position is expected to underperform the relevant index, sector, or benchmark). For CDS, we use the following rating system: Long Risk (over the next three months, the credit return on the recommended position is expected to exceed the relevant index, sector or benchmark); Neutral (over the next three months, the credit return on the recommended position is expected to match the relevant index, sector or benchmark); and Short Risk (over the next three months, the credit return on the recommended position is expected to underperform the relevant index, sector or benchmark).

J.P. Morgan Credit Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
Global Credit Research Universe*	26%	58%	16%
IB clients**	84%	84%	89%

***Please note that the percentages may not add to 100% because of rounding.**
****Percentage of subject companies within each of the "Overweight," "Neutral" and "Underweight" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.**
For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. The Credit Research Rating Distribution is at the issuer level. Issuers with an NR or an NC designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to UK MIFID Research Unbundling exemption for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see https://www.jpmorgan.com/disclosures/cryptoasset-disclosure.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit https://www.theocc.com/components/docs/riskstoc.pdf for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Notification for Credit Ratings: If this material includes credit ratings, such credit ratings provided by Japan Credit Rating Agency, Ltd. (JCR) and Rating and Investment Information, Inc. (R&I), are credit ratings provided by Registered Credit Rating Agencies (credit rating agencies registered under the Financial Instruments and Exchange Law of Japan (FIEL)). With respect to credit ratings that are provided by credit rating agencies other than JCR and R&I and have no stipulation that such credit ratings are provided by Registered Credit Rating Agencies, this means that such credit ratings are Non Registered Ratings (credit ratings provided by credit rating agencies not registered under the FIEL). Among the Non Registered Ratings, with respect to those credit ratings provided by S&P Global Ratings (S&P), Moody's Investors Service (Moody's), or Fitch Ratings (Fitch), prior to making investment decision based on such Non Registered Ratings, please carefully read the "Explanation Letter regarding Non Registered Ratings" for the corresponding credit rating agency, which we separately have sent or will send.

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:
Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central

Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting https://www.jpmm.com/research/disclosures. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: J.P. Morgan Australia - Research Independence Policy.

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: http://www.jpmipl.com. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasadh K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit Terms and Conditions and Most Important Terms and Conditions (MITC). The annual Compliance audit report is available at http://www.jpmipl.com/#research.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas

Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange (“Bolsa Mexicana de Valores”) and the Institutional Stock Exchange (“Bolsa Institucional de Valores”), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission (“Comisión Nacional Bancaria y de Valores”).

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the “Important Disclosures” in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumphini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc (“JPMS plc”) which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited (“JPMML Ltd”) which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 (“the FPO”); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA’s policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: J.P. Morgan EMEA - Research Independence Policy.

U.S.: J.P. Morgan Securities LLC (“JPMS”) is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: https://www.jpmorgan.com/disclosures/email

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to msci.com/disclaimer

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Completed 29 Jul 2026 07:19 PM HKT   Disseminated 29 Jul 2026 07:19 PM HKT